

2 THE DO'S AND DON'TS FOR A CONSUMER ELECTRONICS STARTUP

A lot of startups have come up in accessories, Bluetooth speakers, earphones and other consumer electronics verticals in the last few years. However, the number of startups originating in verticals like ceiling fans have been quite low. Interestingly, Atomberg Technologies, a startup launched by IIT-Bombay alumni Manoj Meena and Sibabrata Das, is currently not only doing well in the ceiling fans market, but is also planning to enter more consumer electronics verticals in India. The company, as per one of its founders, is also looking to foray into smart appliances market. Atomberg came into being in 2012 and started its commercial operations about two years ago.

Sibabrata Das, co-founder of Atomberg, says, "In 2015, after three years of setting up Atomberg Technologies, we were exploring the home automation domain; consumer electronics to be precise. We wanted to focus on the Internet of Things (IoT) and started doing research around it. Soon, we realised that most of our peers in India are integrators, and the smart home market is scattered and bullish. Apart from working in the smart home domain, we decided to launch energy-saving ceiling fans in India."

Since then, the story of Atomberg has been one of the most famous ones in India. This startup has not only become famous for its ceiling fans but has also made news with its unique marketing and customer-acquisition strategies in the country. In this article Sibabrata Das talks about what went right for Atomberg and what should be the ideal approach for someone looking to foray into the consumer electronics domain as a startup.

The focus should never be on market buzzwords. Das says that one should never focus on market buzzwords. He explains that Atomberg initially wanted to start as an IoT and smart features embedded home appliances company, but the team realised that adoption levels for smart appliances were in their initial stages.

Das and Meena then worked on the strategy again, and apart from working on the IoT and smart home appliances, they decided to also launch energy-saving fans in the country.

Das says, "One should not blindly follow market buzzwords. For example, home automation was a buzzword three to four years ago and then came the IoT. Instead of focusing on these buzzwords, we focussed on making the IoT and home automation as problem-solving technologies. Our focus was also on making these affordable for consumers."

"Now, the IoT has also started picking up, but adoption rate is not that high—it might be because of the costs involved. Atomberg is working on making these affordable for the consumer. The message is, as a startup, every team needs to understand that eventually it will have to solve problems, even if the problems are not flexible. So, instead of focusing on buzzwords, a startup's aim should be to solve problems by using those buzzwords."

He adds, "If you are able to solve consumer problems at the right cost, your product will inevitably become one of the best-sellers in the market. Solving problems is what makes a startup get recognised and continue its journey. There are more than enough problems to solve in the business as well as the consumer domain."

Investors should not be financial partners only. Atomberg started receiving a host of offers from individuals and institutions interested in investing in the company since its early days. The team, however, was focused on finding the right match of investors instead of on money.

Das tells us that every offer Atomberg has received was exceptional, but finding the right one was difficult. What makes this point more interesting is the fact that a lot of startups do not even get a chance to choose investors. Das explains, "If you follow the first step sincerely, you will see a lot of people and companies getting interested in being investors in your startup. The second most critical thing is to be able to choose the right one."

And how do you do so? Das answers, "Carefully evaluate the goals of your startup and that of the investor. These should be one in terms of the long-term vision."

He continues, "You need to have the right investor with you. The initial two to three years will only be investments in terms of increasing reach, creating a supply chain, setting quality standards before finally hitting the market. You will have to go through that cycle no matter what. A startup needs to have a long-term investor in the initial days, one that believes in you and one that you can believe in—like Atomberg got Parampara and Hero Group's Suman Kant Munjal."

Let flexibility and innovation be your USP. Atomberg's co-founder terms flexibility as the third major advice to startups. He mentions that as a consumer electronics startup, it is almost impossible to compete against established companies, but there is a catch. He points out, "You can file patents, invest more money and do lots of other things to make your product work, but the only benefit you have against large companies is your flexibility and approach towards innovation. If you get loose on flexibility and innovation, you will lose in the long run."

So, what innovations did Atomberg come up with? Das answers, "We did not just innovate in terms of ceiling fans that save power and help reduce electricity bills, but actually innovated ways to reach end customers."

Interestingly, Atomberg has created a distribution channel through Tata Power. Das explains, "It took us around ten months to crack this distribution channel strategy with Tata Power. We visited many senior people and answered a tonne of questions. We explained that Atomberg has never made a compromise on service, even if that costs more."

"I must also add that our service cost was initially higher than other brands, even established ones."

Atomberg, after creating a successful distribution channel with Tata Power, entered the online sales channel as well. As a matter of fact, their ceiling fans are now available on India's leading e-commerce platforms and through offline channels.